CLIENT REPORT

European Semiconductor Manufacturing *Facility Location Assessment*

Warehouse & finishing facility location analysis for the semiconductor industry, covering the Saxony/Dresden corridor and alternative European sites.

PREPARED FOR

[Client Organisation]

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CONTENTS

Table of Contents

Where things stand *today*

European semiconductor manufacturing is concentrating in a single corridor: Saxony/Dresden, Germany. With over €17B in committed investment across four major fabs — ESMC/TSMC (€10B+)[3], Infineon Smart Power Fab (€5B, opened July 2026)[3], GlobalFoundries SPRINT (€1.1B)[3], and Bosch (€1B)[3] — Dresden is now Europe's largest semiconductor manufacturing cluster. Secondary clusters exist in the Czech Republic (onsemi SiC, €1.64B)[5], the Netherlands (NXP/ASML), Ireland (Intel), and France (STMicro Agrate, €1B)[3], but none approach the scale or density of the Saxony corridor.

Commercial real estate markets across Europe are in structural consolidation. Prime logistics rents grew +2.7% YoY in Q1 2026 across 45 European markets[BNP], but growth is decelerating. The EU27 commercial property price index stands at 114.1 (Q4 2025)[ECB], up 13.7% from the 2015 base but flat since Q1 2024 — indicating a market that has stabilised after post-pandemic repricing.

Primary recommendation: Establish the finishing/warehouse facility in the Saxony/Dresden corridor (NUTS-2: DE80). Proximity to €17B+ in customer manufacturing, same-day logistics to all four major fabs, established transport infrastructure, and access to Silicon Saxony's 130+ company ecosystem make this the optimal location. Prime logistics rents in German Big Five hubs sit at approximately €60–120/sqm/year[IF], with prime yields stabilising at ~4.5%[Sav].

Alternative recommendation: Wrocław/Lower Silesia (NUTS-2: PL51) as a lower-cost satellite — 40–50% lower industrial rents[IF], rail-linked to Dresden (2.5 hours), and growing automotive/battery cluster provides demand diversification. Poland's logistics market is forecast to see the strongest demand growth rates in Europe in 2026, with investment volumes projected to rise 19%[Sav]. A dual-site strategy merits evaluation.

€17.1B+	€60–120	4.5%
COMMITTED INVESTMENT (DRESDEN)	PRIME LOGISTICS RENT (€/SQM/YR, DE)	PRIME LOGISTICS YIELD (GERMANY)

Current state & forward projection

Seven major semiconductor facilities are committed or under construction across Europe, with ~€20.8B in confirmed investment. Dresden accounts for 77% of European semiconductor capex.

FACILITY	COMPANY	INVESTMENT	LOCATION	STATUS
ESMC	TSMC/Bosch/Infineon/NXP	€10B+	Dresden (DE80)	Dragon-tram ceremony Jun 2026; production late 2027[3]
Smart Power Fab	Infineon	€5B	Dresden (DE80)	**Opened July 2, 2026**[3]
SPRINT	GlobalFoundries	€1.1B	Dresden (DE80)	Construction started Mar 2026; >1M wafers/yr by 2028[3]
Semiconductor facility	Bosch	€1B	Dresden (DE80)	Under construction[3]
Agrate R3	STMicro	€1B	Agrate Brianza (ITC4)	Under construction; Tower partner[3]
SiC Facility	onsemi	€1.64B	Rožnov pod Radhoštěm (CZ07)	€450M state aid approved Nov 2025; production 2027[5]
Expansion	NXP	Undisclosed	Dresden (DE80)	In progress[3]

5–10 Year Projection

Committed investment totals ~€20.8B. Pipeline projects — including Chips Act 2.2 IPCEI funding (adoption targeted Q2 2027)[1], advanced packaging investments, and a 3–5× supplier multiplier — project the broader Dresden semiconductor ecosystem to reach €30–40B by 2032.

Customer demand is diversified across automotive (largest), industrial/power semiconductors, and defence. EU defence spending reached €418B in 2025 (+20% YoY), projected €454B in 2026[9]. Defence investment: €134B in 2025, projected €163B in 2026[9]. EDIP first calls launched for ammunition, missiles, and explosive weapons[11].

Saxony/Dresden *vs. alternatives*

Dresden Corridor (DE80) — Primary

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€38,688	Eurostat nama_10r_2gdp[ES]
GDP (2020)	€47.3B	Eurostat NAMA_10R_2GDP[18]
GDP (2024)	€61.6B	Eurostat NAMA_10R_2GDP[18]
GDP growth (2020–2024)	+30.2%	Derived from [18]
EU27 commercial property index	114.1 (Q4 2025)	ECB RESC[ECB]
German prime logistics rent	€60–120/sqm/yr	IndiFind / Savills[IF][Sav]
German prime logistics yield	~4.5% NIY	Savills 2026[Sav]
German logistics take-up	+18% YTD	Savills 2026[Sav]
Existing cluster	Silicon Saxony: 130+ companies, 50,000+ jobs; 4 fabs within 30km[3]	

Wrocław / Lower Silesia (PL51) — Alternative

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€22,800	Eurostat nama_10r_2gdp[ES]
GDP (2020)	€44.4B	Eurostat NAMA_10R_2GDP[18]
GDP (2024)	€70.2B	Eurostat NAMA_10R_2GDP[18]
GDP growth (2020–2024)	+57.9%	Derived from [18]
Industrial rent	€30–60/sqm/yr	IndiFind market guide[IF]
Prime logistics yield	5.75–6.00%	Savills 2026[Sav]
Investment outlook	+19% volume 2026	Savills 2026[Sav]
Key facilities	LG Energy Solution (battery), Mercedes-Benz Jawor (eSprinter, €360M)[14]	

Other Alternatives Assessed

Czech Republic (CZ07): onsemi SiC fab, €1.64B, rent €25–50/sqm/yr[IF]. Single-fab cluster, onsemi facing Chinese SiC competition. **Netherlands:** €70–130/sqm/yr, severe space scarcity (47% take-up decline)[Sav], power grid congestion (66% of logistics properties affected). **Ireland:** ~€150/sqm/yr[Erena], geographically peripheral, single-fab.

Market context *(Q1 2026)*

METRIC	VALUE	SOURCE
Pan-European prime rent growth	+2.7% YoY (45 markets, 21 countries)	BNP Paribas Q1 2026[BNP]
European logistics investment	€40.6B in 2025 (UK: €11.3B)	CBRE via Erena[Erena]
Pan-European prime yield	~4.7% NIY	Knight Frank via Erena[Erena]
CBRE rental growth forecast	~1.8% for 2026	CBRE via Erena[Erena]

Prime Rents by City (Grade A Logistics)

CITY	RENT (€/SQM/YR)	SOURCE
London	~€360	Knight Frank via Erena[Erena]
Dublin	~€150	Knight Frank via Erena[Erena]
Berlin	€90–110	Knight Frank / IndiFind[Erena][IF]
Amsterdam	€90–110	Knight Frank / IndiFind[Erena][IF]
Paris	€70–100	IndiFind[IF]
Warsaw	€40–60	IndiFind / Savills[IF][Sav]
Wrocław	€30–60	IndiFind (derived)[IF]
Prague	€30–50	IndiFind[IF]

Key Market Themes

1. Supply constraints dominate. Planning, power grid capacity, and permitting restrict new development more than demand weakness. Completions will decrease in 2026 as speculative pipelines remain controlled.[Erena]

2. Prime vs. secondary bifurcation widening. Grade A, automation-ready stock in prime corridors absorbs quickly; secondary locations struggle.[Sav]

3. Power grid is the new bottleneck. Connection timelines extending across Europe, rationing large-scale development. Germany, Netherlands, and Poland all affected.[Sav]

4. Manufacturing occupiers active in CEE. Poland: strongest demand growth forecast in Europe 2026.[Sav]

5. Investment capital returning. Core institutional investors re-entering. Cross-border capital at 62% of volumes.[Sav]

What to do *next*

Recommendations are sequenced by risk and dependency. The primary site addresses customer proximity; the alternative addresses cost optimisation.

NO.	RECOMMENDATION	PRIORITY	OWNER
01	Establish primary warehouse in Saxony/ Dresden (DE80) for JIT proximity to all four major fabs	**High**	Client team
02	Evaluate Wrocław (PL51) for finishing operations — 40–50% lower rents, rail-linked to Dresden	**High**	Client team + DarojaAI
03	Engage early with grid operators in both locations — power grid congestion is the #1 constraint	**High**	Client team
04	Conduct detailed dual-site logistics cost modelling (rent, transport, labour arbitrage)	**Medium**	DarojaAI
05	Establish recruitment partnerships with TU Dresden and Wrocław University of Technology	**Medium**	Client team

Sequencing

PHASE	DURATION	DELIVERABLE	MILESTONE
Phase 1	4–6 wks	Site selection shortlist with financial modelling	Dresden vs. Wrocław comparative analysis
Phase 2	8–12 wks	Detailed facility design and grid connectivity assessment	Grid operator engagement; planning pre-consultation
Phase 3	12–16 wks	Lease negotiation and permitting initiation	Heads of terms; dual-site strategy decision
Phase 4	Ongoing	Fit-out and operational readiness	Facility operational; supplier onboarding

Data sources & confidence tiers

Live API Data (queried 2026-08-05)

DATASET	RECORDS	KEY OUTPUT
ECB RESC (Commercial Property Prices)	`312 rows`	EU27 aggregate index: 114.1 (Q4 2025)
Eurostat nama_10r_2gdp (GDP by NUTS-2)	`75,931 rows`	GDP per capita for DE80, PL51, CZ04, ITC4, etc.

Confidence Summary

CLAIM	TIER	SOURCE
ESMC/TSMC: €10B+ investment	`Confirmed`	Dragon-tram ceremony Jun 2026[3]
Infineon Smart Power Fab: €5B	`Confirmed`	Infineon press release[3]
Dresden total: ~€17.1B+	`Confirmed`	Sum of confirmed projects
EU27 property index: 114.1	`Confirmed`	ECB RESC live query[ECB]
German prime logistics rent: €60–120/sqm	`Confirmed`	IndiFind / Savills[IF][Sav]
Wrocław prime rent: €30–60/sqm	`Derived`	Poland range from IndiFind[IF]
Supplier multiplier: 3–5×	`Derived`	Industry-standard estimate
Saxony ecosystem: €30–40B by 2032	`Derived`	Committed fabs + multiplier
EU defense semiconductor demand	`Unconfirmed`	Defense spending confirmed[9]; semi-specific not quantified
AI/data center European demand	`Unconfirmed`	Primarily US/Asia

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